



Social Security (No. 2) Act 1980

1980 CHAPTER 39

An Act to amend the law relating to social security for the purpose of reducing or abolishing certain benefits and of relaxing or abolishing certain duties to increase sums.
[17th July 1980]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Where in consequence of a review under section 125 of the Social Security Act 1975 (hereafter in this Act referred to as “the principal Act”) in the tax year 1979–1980 the Secretary of State is required by subsection (3) of that section to prepare and lay before Parliament the draft of an order increasing a specified sum, the increase provided by the draft in respect of the sum may be less, by up to 5 per cent. of the sum, than the increase required by that subsection in respect of the sum.

Reduction of compulsory up-rating of certain benefits.
1975 c. 14.

(2) In the preceding subsection “a specified sum” means—

(a) a sum specified in any of the following provisions of Schedule 4 to the principal Act, namely—

(i) paragraphs 1 and 4 of Part I (which specify the weekly rates of unemployment benefit, sickness benefit and maternity allowance),

(ii) column (3) of paragraphs 1, 2 and 3 of Part IV (which specify the increases for adult dependants of unemployment benefit, sickness benefit, invalidity pension and maternity allowance),

(iii) paragraphs 1, 4, 5, 11 and 12 of Part V (which specify the weekly rates of injury benefit, unemployment supplement of disablement pension, an increase of that supplement and the increases for adult dependants of injury benefit and disablement pension);

(b) any sum specified in paragraph 3 of Part I of the said Schedule 4 (which specifies the weekly rates of invalidity allowance) except so far as the sum is relevant for the purpose of section 28(7) of the principal Act (which provides for an increase of a retirement pension in certain cases to be of the same amount as the weekly rate of an invalidity allowance);

1975 c. 60.

(c) the sum mentioned in section 23(1)(a) of the Social Security Pensions Act 1975 so far as the sum is relevant for the purpose of calculating under section 14(6) of the principal Act the rate of unemployment or sickness benefit and of calculating under section 14, 15 or 16 of the said Act of 1975 or section 15(4) of the principal Act the rate of an invalidity pension;

and "tax year" has the same meaning as in the principal Act.

(3) An order under section 124 of the principal Act which increases a sum specified in paragraph 3 of Part I of the said Schedule 4 or the sum mentioned in the said section 23(1)(a) may provide—

(a) in relation to a sum so specified, for an increase of it for the purpose referred to in paragraph (b) of the preceding subsection and for a different increase of it for other purposes;

(b) in relation to the sum so mentioned, for an increase of it for the purpose referred to in paragraph (c) of the preceding subsection and for a different increase of it for other purposes;

and sections 125 and 126 of the principal Act (which among other things provide for reviews and increases of the amounts of certain benefits) shall have effect in relation to a sum so specified and the sum so mentioned as if the requirement to review it which is imposed by subsection (1) of the said section 125 were a requirement to review it as it applies for the purpose referred to in paragraph (b) or (c) of the preceding subsection and to review it separately as it applies for other purposes.

(4) The Secretary of State may by order provide that subsection (1) of this section shall have effect—

(a) with the addition after the words "1979-1980" of the words "or 1980-1981";

(b) if he has made an order in pursuance of the preceding paragraph, with the substitution for the words "or 1980-1981" of the words "1980-1981 or 1981-1982";

- (c) if he has not made an order in pursuance of either of the preceding paragraphs, with the addition after the words "1979-1980" of the words "or 1981-1982";

but no order shall be made by virtue of this subsection unless a draft of the order has been laid before Parliament and approved by a resolution of each House of Parliament.

(5) Section 126(4) of the principal Act (which among other things provides for rounding down an increase under section 125(3) of that Act) shall apply to an increase in pursuance of subsection (1) of this section as it applies to an increase in pursuance of the said section 125(3) but shall be disregarded in determining for the purposes of subsection (1) of this section and increase required by the said section 125(3); and nothing in this section shall be construed as prejudicing section 166(2) of that Act (which among other things relates to the extent of powers to make orders under that Act).

2.—(1) In section 125(1) of the principal Act, paragraph (c) (under which the sum which certain Category A or B retirement pensioners may earn without abating their pensions is included among the sums which must be reviewed under the said section 125(1) in each tax year) shall be omitted.

Abolition of compulsory up-rating of amount certain pensioners may earn without abating pensions.

(2) In relation to a draft of an up-rating order which, in consequence of a review under section 125 of the principal Act made before the passing of this Act, falls to be prepared after the passing of this Act in pursuance of subsection (3) of that section, subsection (1)(c) of that section shall be disregarded.

3.—(1) For paragraph (d) of subsection (1) of section 17 of the principal Act (which provides that for the purposes mentioned in that subsection any two days of interruption of employment within a period of 6 consecutive days shall be treated as a period of interruption of employment and any two such periods not separated by 13 weeks shall be treated as one period of interruption of employment) there shall be substituted the following paragraph—

Alteration of period of interruption of employment and of periods relating to invalidity allowance and unemployment supplement.

"(d) the following periods, namely—

(i) any two days of unemployment, whether consecutive or not, within a period of 6 consecutive days,

(ii) any four or more consecutive days of incapacity for work,

shall be treated as a period of interruption of employment, and any two such periods not separated by a period of more than 8 weeks ('week' for this purpose

meaning any period of 7 days) shall be treated as one period of interruption of employment;”.

(2) Accordingly in section 56(6) of the principal Act (which among other things provides for section 17(1) of that Act to have effect for the purposes of injury benefit as it has effect for the purposes of unemployment benefit or sickness benefit) the words “unemployment benefit or” shall be omitted.

(3) In section 28(7) of the principal Act (under which a Category A retirement pension is to be increased if among other things the pensioner was entitled to invalidity allowance in respect of any day in the 13 weeks preceding the day on which he attains pensionable age) and in subsection (4) of section 59 of that Act (which among other things provides that for the purposes of that subsection a break of more than 13 weeks in entitlement to unemployability supplement means that the periods before and after the break are different periods, and a break of 13 weeks or less is to be disregarded), for the words “13 weeks” wherever they occur there shall be substituted the words “8 weeks”.

(4) The Secretary of State may by regulations provide for any provision amended by subsection (1) or (3) of this section to have effect as if for the reference to 8 weeks there were substituted a reference to a larger number of weeks specified in the regulations.

Reduction and abolition of earnings-related supplement and addition.

4.—(1) In Schedule 6 to the principal Act, in paragraph 3(1)(a)(ii) (under which the weekly rate of earnings-related supplement of unemployment benefit, sickness benefit and a maternity allowance and the earnings-related addition to a widow's allowance are calculated by reference to 15 per cent. of the earnings there mentioned) for the words “15 per cent.” there shall be substituted the words “10 per cent.”.

(2) Except as provided in pursuance of section 7(2) of this Act, no earnings-related supplement of unemployment benefit, sickness benefit or a maternity allowance and no earnings-related addition to a widow's allowance shall be payable under the principal Act in respect of any period which is after the coming into force of this subsection.

Abatement of unemployment benefit on account of payments of occupational pension.

5.—(1) If payments by way of occupational pension which in the aggregate exceed the maximum sum are made for any week to a person who has attained the age of 60, the rate of any unemployment benefit under the principal Act to which apart from this section he is entitled for that week shall be reduced by 10 pence for each 10 pence of the excess; and in this subsection “the maximum sum” means such sum not less than £35 as is prescribed.

(2) Regulations may provide—

- (a) for such sums as are specified in or determined under the regulations to be disregarded for the purposes of this section;
- (b) for securing that no reduction in pursuance of the preceding subsection is made in the unemployment benefit for any day before the day which in pursuance of the regulations is treated as that on which relevant payments by way of occupational pension begin;
- (c) for this section to apply, in cases where—
 - (i) a lump sum is paid to a person in connection with a former employment of his or arrangements are made for a lump sum to be so paid; or
 - (ii) benefits of any description are made available to a person in connection with a former employment of his or arrangements are made for them to be made so available; or
 - (iii) payments by way of occupational pension to a person are assigned, reduced or postponed or are made otherwise than weekly,as if there were made to the person such weekly payments by way of occupational pension as are specified in or determined under the regulations;
- (d) for the method of determining whether payments by way of occupational pension are made to a person for any week and the amount of any such payments which are so made;
- (e) for sections 14(7), 17(1) and 18(1) of the principal Act (which relate respectively to earnings-related supplement of unemployment benefit, the days for which unemployment benefit is payable and the duration of unemployment benefit) to have effect, in relation to a person whose rate of unemployment benefit is reduced by virtue of this section, with such modifications as are prescribed.

(3) In this section—

“employer” means—

- (a) in relation to an employment under a contract of service, the employer under the contract;
- (b) in relation to an employment in an office with emoluments, the person responsible for paying the emoluments;

“employment” means an employment under a contract of service or in an office with emoluments;

“modifications” includes additions, omissions and amendments;

"payments by way of occupational pension" means, in relation to a person, periodical payments which, in connection with the coming to an end of an employment of his, fall to be made to him and to be so made out of money provided wholly or partly by the employer or under arrangements made by the employer or out of money provided under an enactment or instrument having the force of law in any part of the United Kingdom or elsewhere and such other payments as are prescribed;

"prescribed" means prescribed by regulations; and

"regulations" means regulations made by the Secretary of State;

and the reference in subsection (1) of this section to unemployment benefit includes any earnings-related supplement of the benefit and any increase of the benefit on account of dependants.

(4) Regulations prescribing payments for the purposes of the definition of "payments by way of occupational pension" in the preceding subsection shall not be made unless a draft of the regulations has been laid before Parliament and approved by a resolution of each House of Parliament.

1980 c. 30.

(5) Section 10 of the Social Security Act 1980 (which among other things requires the Secretary of State to refer to the Social Security Advisory Committee certain proposals to make regulations) shall apply to proposals to make regulations in pursuance of subsection (2) of this section and such regulations as are mentioned in the preceding subsection, other than regulations which are made during the period of 6 months beginning with the date of the passing of this Act, as it applies to such proposals of the Secretary of State as are mentioned in subsection (1) of that section.

(6) For the purposes of this section as it applies to Scotland, the time at which a person attains the age of 60 shall be the commencement of the sixtieth anniversary of the date of his birth.

Supplementary benefit in cases affected by trade disputes.
1976 c. 71.

6.—(1) Where in consequence of a stoppage of work which is due to a trade dispute the requirements of a person for any period are, by virtue of section 8 of the Supplementary Benefits Act 1976 (which relates to cases affected by trade disputes), to be disregarded to any extent for the purposes of supplementary benefit, then, except so far as regulations provide otherwise—

(a) there shall not be disregarded for the purposes of that Act—

(i) any relevant payments of his for that period or any part of it, and

(ii) without prejudice to the generality of the preceding sub-paragraph, any amount which becomes or would on an application duly made become available to him in that period by way of repayment of income tax deducted from his emoluments in pursuance of section 204 of the Income and Corporation Taxes Act 1970 (pay as you earn);

(b) any payment by way of a supplementary pension or allowance for that period or any part of it which apart from this paragraph would be made to him, or to any other person whose resources are to be aggregated with his in pursuance of the said Act of 1976, shall not be made if the weekly rate of the payment is £12 or less and, if it is more than £12, shall be at a weekly rate equal to the difference; and

(c) no payments in pursuance of section 4 of the said Act of 1976 (which relates to urgent cases) shall be made, in respect of requirements relating to that period, to him or to any other person whose resources are to be aggregated with his in pursuance of that Act.

(2) If an order under section 124 of the principal Act (which enables the Secretary of State to increase the sums mentioned in that section and section 23 of the Social Security Pensions Act 1975) specifies in pursuance of subsection (2) of the said section 23 a percentage by which certain sums are to be increased, then, subject to the following subsection and to the operation of this subsection by reference to any later order under the said section 124,—

(a) paragraph (b) of the preceding subsection shall have effect, from the time when the first-mentioned order comes into force, with the substitution for the references to the specified sum of references to a sum arrived at by—

(i) increasing the specified sum by that percentage of it, and

(ii) if that sum as so increased is not a multiple of 50p, disregarding the remainder if it is 25p and, if it is not, rounding it up or down to the nearest 50p; and

(b) it shall be the duty of the Secretary of State to make an order stating the sum which by reference to the first-mentioned order is arrived at in pursuance of the preceding paragraph.

(3) Regulations may provide—

(a) that the preceding subsection shall not apply in relation to a particular order under the said section 124; and

- (b) that paragraph (b) of subsection (1) of this section shall have effect with the substitution for the references to the specified sum of references to a sum prescribed by the regulations;

and the preceding subsection shall not apply in relation to a percentage if that percentage of the specified sum is 25p or less.

No regulations shall be made by virtue of this subsection unless a draft of the regulations has been laid before Parliament and approved by a resolution of each House of Parliament.

- (4) In this section—

“ regulations ” means regulations made by the Secretary of State;

“ relevant payments ” means, in relation to a person and a period, payments which the person receives or is entitled to obtain by reason of his being without employment for that period;

“ the specified sum ” means £12 or, if by virtue of subsection (2) or (3) of this section another sum is for the time being mentioned in the places in subsection (1)(b) of this section as originally enacted where £12 was mentioned, that other sum; and

“ trade dispute ” has the same meaning as in the principal Act;

1976 c. 71.

and for the purposes of subsection (1) of this section any modification of section 8 of the Supplementary Benefits Act 1976 which has effect by virtue of any other provision of that Act shall be disregarded.

1980 c. 30.

(5) Section 2 of the Supplementary Benefits Act 1976 (which among other things relates to the determination of any question as to entitlement to and the amount of supplementary benefit and any other question relating to supplementary benefit which arises under that Act) shall have effect, after the preceding provisions of this section and section 6(1) of the Social Security Act 1980 (which amends the said section 2) have come into force, with the addition after the words “ under this Act ” in subsection (1) of the said section 2 of the words “ or section 6 of the Social Security (No. 2) Act 1980 ”.

(6) If provisions of this section come into force before the date when the said section 6(1) comes into force, regulations may provide for the said Act of 1976 to have effect until that date with such modifications, if any, as the Secretary of State considers appropriate in consequence of the coming into force of those provisions; and in this subsection “ modifications ” includes additions, omissions and amendments.

7.—(1) Section 19(3) of the Social Security Act 1980 (which Supplemental. provides for sums in respect of expenses under that Act which 1980 c. 30. are connected with benefits payable out of the National Insurance Fund to be paid from that Fund into the Consolidated Fund) shall have effect as if the references to expenses incurred by virtue of that Act included administrative expenses of the Secretary of State which are attributable to this Act.

(2) The Secretary of State may by regulations make such provision as he considers appropriate for dealing with transitional matters connected with or arising out of the coming into force of any provision of this Act including in particular, but without prejudice to the generality of the preceding provisions of this subsection—

- (a) provision for disregarding the effect of subsection (1) or (3) of section 3 of this Act in relation to periods which include the day on which that subsection comes into force;
- (b) provision for disregarding the effect of subsection (1) of section 4 of this Act in relation to any period after that subsection comes into force;
- (c) provision for the payment in respect of any period after subsection (2) of section 4 of this Act comes into force of such a supplement or addition as is mentioned in that subsection.

(3) Subsections (1) to (3) of section 166 of the principal Act (which among other things make provision about the extent of powers to make orders and regulations) shall apply to any power to make an order or regulations conferred by the preceding provisions of this Act as they apply to any power to make an order or regulations conferred by that Act but as if for references to that Act there were substituted references to those provisions.

(4) A statutory instrument containing regulations made by virtue of this Act, other than an instrument containing only such regulations as are mentioned in section 5(4) or regulations made by virtue of section 6(3) of this Act, shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(5) An Order in Council under paragraph 1 of Schedule 1 to the Northern Ireland Act 1974 (which among other things 1974 c. 28. provides for legislation for Northern Ireland in the interim period) may be made without regard to sub-paragraph (4) of that paragraph (which among other things provides for the affirmative resolution procedure for certain Orders) if the Order contains a statement that its effect is confined to making for Northern Ireland provision corresponding to provisions of this Act; and such an Order shall not be subject to sub-paragraph

(5) of that paragraph (which relates to the approval by Parliament of Orders which have not been approved under the affirmative resolution procedure) but shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(6) The enactments mentioned in the first and second columns of the Schedule to this Act are hereby repealed to the extent specified in the third column of that Schedule.

1977 c. 5.

(7) In section 22(6)(a) of the Social Security (Miscellaneous Provisions) Act 1977 (which refers to certain payments which are analogous to the earnings-related supplement mentioned in section 14(7) of the principal Act) after the words "principal Act" there shall be inserted the words "when it was in force".

Citation,
commence-
ment and
extent.

8.—(1) This Act may be cited as the Social Security (No. 2) Act 1980 and shall be included among the Acts which may be cited together as the Social Security Acts 1975 to 1980.

(2) The following provisions of this Act, namely sections 3 to 6 and 7(7) and the Schedule so far as it relates to the principal Act except sections 125 and 126 of that Act, shall come into force on such day as the Secretary of State may appoint by order made by statutory instrument, and different days may be appointed in pursuance of this subsection for different provisions of this Act; and accordingly the other provisions of this Act come into force on the passing of this Act.

(3) This Act, except section 7(5) and this section so far as it relates to section 7(5), does not extend to Northern Ireland.

SCHEDULE

Section 7(6).

ENACTMENTS REPEALED

Chapter	Short title	Extent of repeal
1975 c. 14.	The Social Security Act 1975.	In section 12(1) the words "earnings-related supplement, and" wherever they occur and the words "earnings-related addition, and". In section 13, subsection (2)(b), in subsection (3) the words from "and for" onwards and in subsection (4) the words from "but not" onwards. Section 14(7). In section 17(3) the words from "for the purposes" to "Act and" and the words "for all other purposes of this Part of this Act". Sections 22(4) and 24(3). In section 56(6) the words "unemployment benefit or". In section 79(4), paragraphs (a) and (c) and the words from "to cause" to "supplement or". In section 92(2) the words "earnings-related supplement, under section 14(7) or 22(4)". Section 124(1)(b). In section 125, in subsection (1) paragraph (c) and the words from "except" onwards, and in subsection (2) the words "earnings and". In section 126(4) the words "in the case of a sum specified in a provision mentioned in section 125(1)(a) or (b)". Schedule 6. Section 7.
1977 c. 5.	The Social Security (Miscellaneous Provisions) Act 1977.	
1980 c. 30.	The Social Security Act 1980.	In section 1, in subsection (1) the words from "except" where it first occurs to "to earnings" and the words from "except" in the second place where it occurs onwards, and in subsection (2) the words from "except" onwards.